



Lennox International

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Company Overview

CONSTRUCTION & BUILDING PRESENTATION DESIGN

Company Overview



Lennox International Inc. (\$LII) is a leading provider of climate-control solutions, manufacturing and marketing a broad range of heating, ventilation, air conditioning, and refrigeration (HVACR) equipment.

Business Model

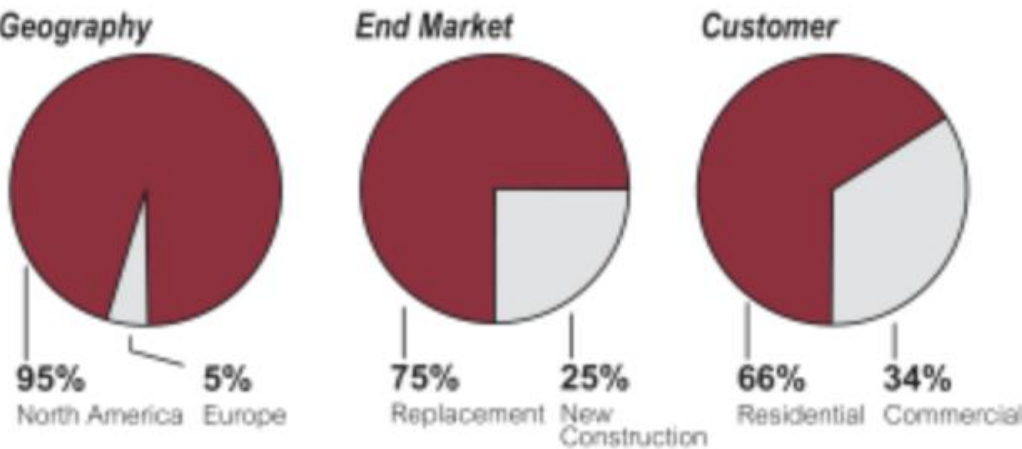
- **Home Comfort Solutions (Residential):** ~67% of Revenue
 - Furnaces, Air Conditioners, Heat Pumps, Indoor Air Quality.
- **Building Climate Solutions (Commercial):** ~33% of Revenue
 - Commercial Heating/Cooling, Refrigeration, Services.

Key Brands

- **Residential:** Lennox, Ducane, AirEase, Concord.
- **Commercial:** Enlight, Xion, Energence.



BUSINESS MIX



MANUFACTURING FOOTPRINT



Company Metrics

Founded	1895
Revenue(2024)	\$5.34 Billion(+7%YoY)
Market Cap	\$18.42 Billion
Stock Price	\$504.73
Employees	11000 worldwide

Sources: Form DEF 14A for Lennox International INC filed 04/09/2025, Form DEF 14A for Lennox International INC filed 04/07/2022

Historical Growth

Revenue Performance

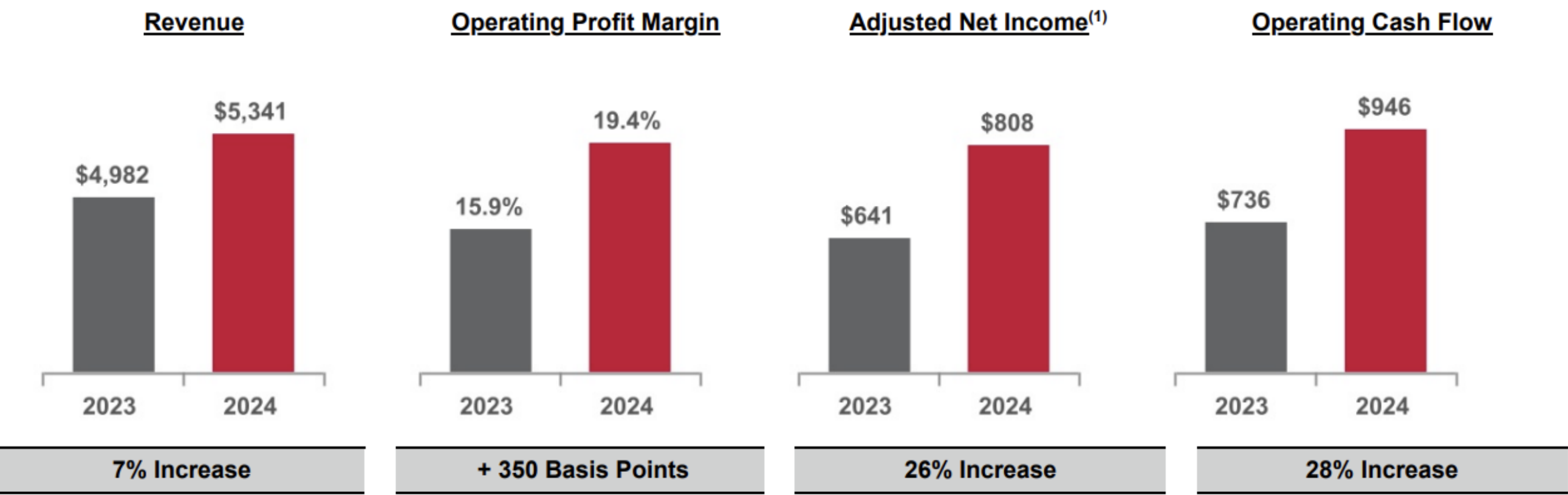
- **2024 Revenue:** \$5.34B (Up 7% YoY)
- **Q2 2025 Revenue:** \$1.50B (+3.4% YoY)

Market Snapshot

- **P/E Ratio:** 22.43x
- **52-wk High/Low:** \$689.44 / \$443.19

Profitability and Cash Flow

- **Net Income (2024):** \$806.9 Million
- **Free Cash Flow (2024):** \$785M (Up 61% YoY)
- **EPS (Q2 2025):** \$7.82 (Beating consensus by ~14%)



Sources: Form DEF 14A for Lennox International INC filed 04/09/2025

SWOT Analysis

Strength

- **Highest Margins:** 19.4% EBIT margin due to owning distribution.
- **Dealer Loyalty:** Contractors are "captured" by the exclusive Lennox Store ecosystem.
- **Pricing Power:** Customers prioritize reliability (38%) over price (17%), benefiting trusted brands like Lennox.

Opportunities

- **Parts & Supplies:** Recent **NSI Acquisition (\$550M)** doubles TAM from \$5B to \$10B, making Lennox a "one-stop-shop."
- **Aging Fleet:** >75% of US AC units are >10 years old, signaling a massive replacement wave.

Weaknesses

- **Ductless Product Line:** Weak presence in the growing "Mini-Split" market compared to Asian rivals (Daikin/Mitsubishi).
- **Geographic Concentration:** Highly dependent on North America.

Threats

- **Product Mix Shift:** Consumers moving toward Ductless/Mini-splits (where Lennox has no moat).
- **Strategic Distraction:** New JV with Ariston (Water Heaters) risks diluting focus from core HVAC

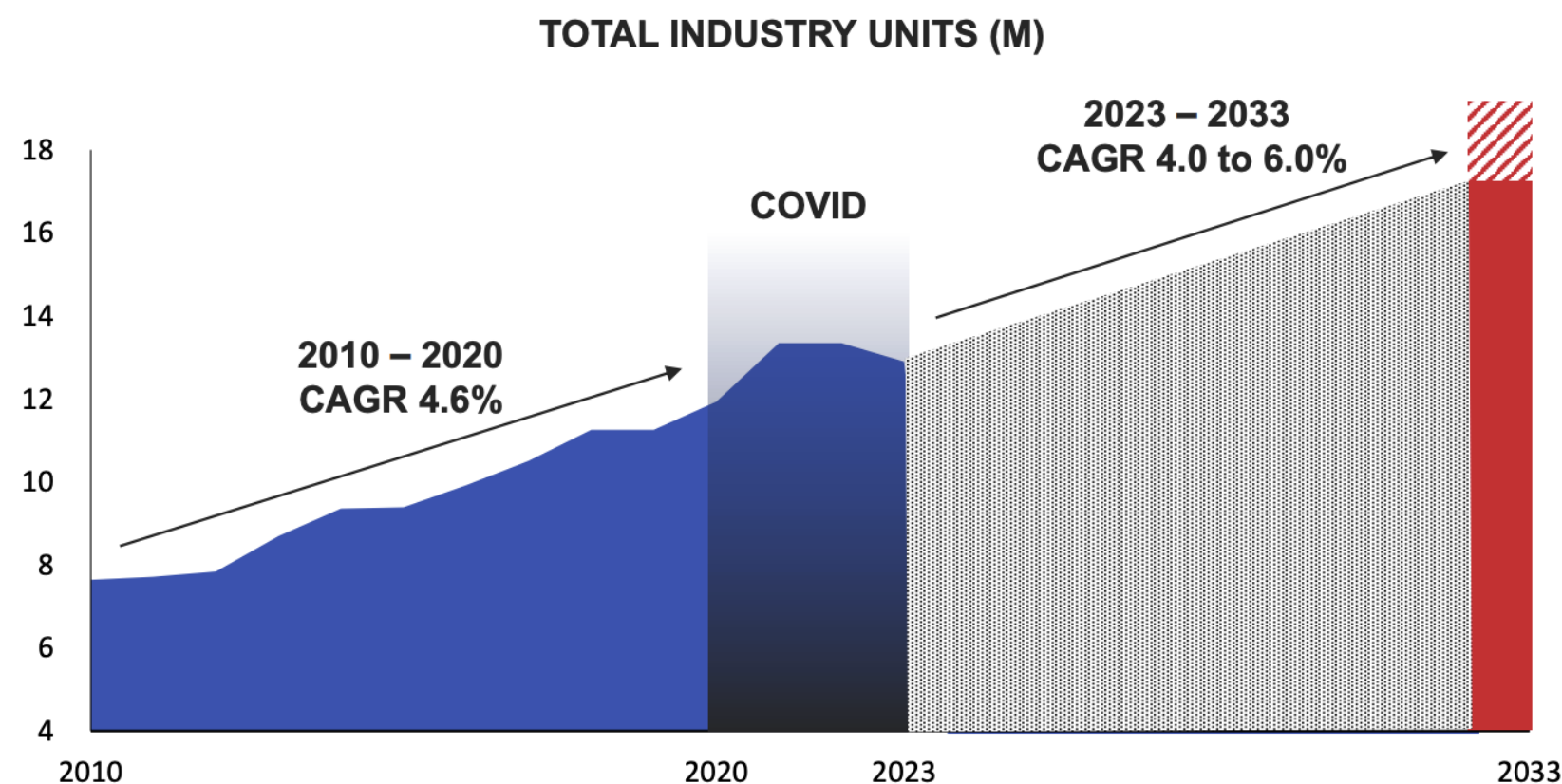


Industry Analysis

Industry and Competition

Market Structure

- **Concentrated:** Top 5 players control the market; new entrants are rare due to manufacturing scale barriers.
- **Rational Pricing:** Competitors avoid price wars; the industry collectively passes through cost inflation (5-10% hikes) without losing margin.

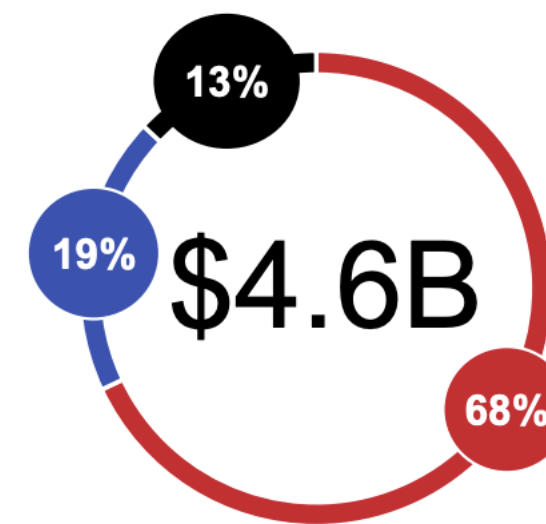


Residential Market Share(Est.)

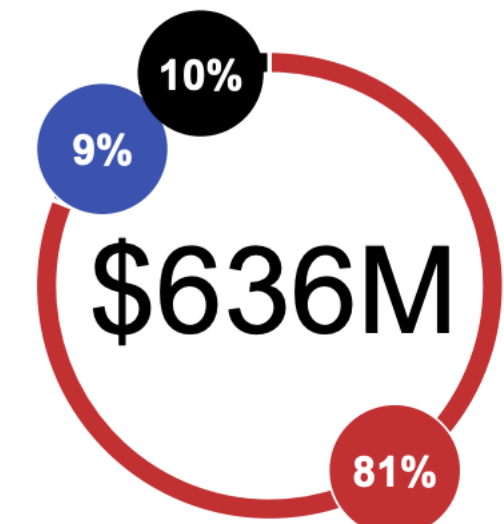
- **Carrier:** ~22% (Global focus, but weak channel coordination).
- **Daikin:** ~20% (Uses "Barbell" strategy: Daikin for premium, Goodman for value).
- **Trane:** ~14%
- **Lennox:** ~13%
- **Johnson Controls:** ~5%

(Commercial Share: Trane leads with ~25%; Lennox is smaller at ~6%)

REVENUE BY SEGMENT²



EBIT BY SEGMENT²



■ Residential ■ Commercial ■ Refrigeration



Porter's Five Forces

Porter's Five Forces

THREAT OF NEW ENTRANTS		LOW	• Manufacturing scale barriers • Stable distribution • Regulatory complexity
THREAT OF SUBSTITUTES		MEDIUM	• Essential necessity • “Ductless” threat • No real disruptive substitutes
DEGREE OF RIVALRY		HIGH	• Crowded landscape • Intense promotion • Rational and discipline
POWER OF BUYERS		MEDIUM	• Contractor influence • Brand preference • Price sensitivity
POWER OF SUPPLIERS		MEDIUM	• Raw material volatility • Tech component scarcity • Global sourcing mitigation

Investment Thesis

BUY

Because of **resilient financial health**, consistent growth with **upside potential** (replacement cycle), and **high barriers** that block smaller competitors

Industry Leading Margins

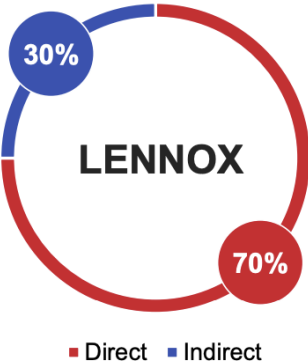
Comparing EBIT Margins

Lennox: 19.8%, Trane: 17.9%, Carrier: 10.7%, Daikin: 8.6%

Why?

Direct-to Dealer Model

- **No Middleman:** Owns ~250 stores; bypasses wholesalers (e.g., Watsco).
- **Double Margin:** Captures Mfg. + Dist. profit (vs Peers ~14%).



Vs.

Industry
20% Direct
80% Indirect

Dealer Captivity

- **Sticky Ecosystem:** Exclusive training, parts, and leads.
- **High Switching Costs:** Dealers unlikely to leave the ecosystem



Data Advantage

- **Visibility:** Real-time sell-through data vs. Peer "Black Box".

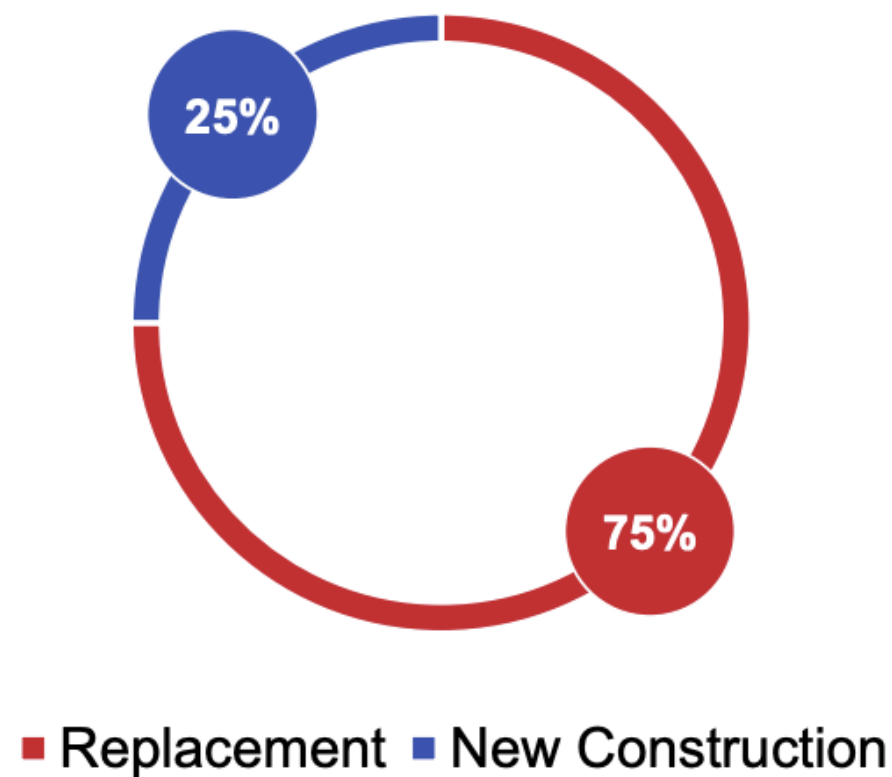


The Replacement Cycle

The “Super-Cycle”

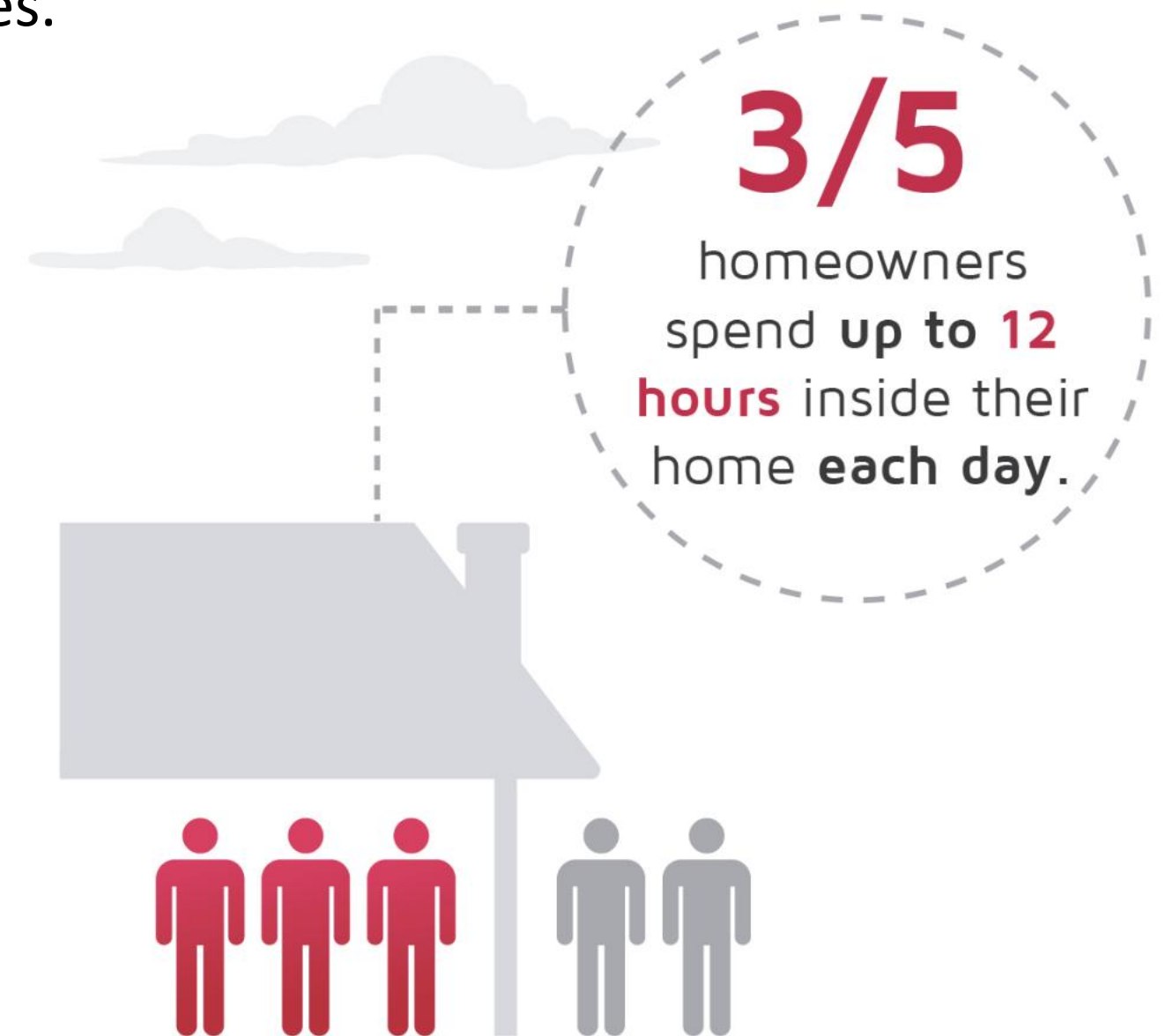
- **Aging Fleet:** 75% of US units >10 years old.
- **Non-Discretionary:** 80% revenue from replacement (Break/Fix).
- **Pricing Leverage:** In emergencies, reliability trumps price.

REVENUE BY APPLICATION



Weather Tailwinds

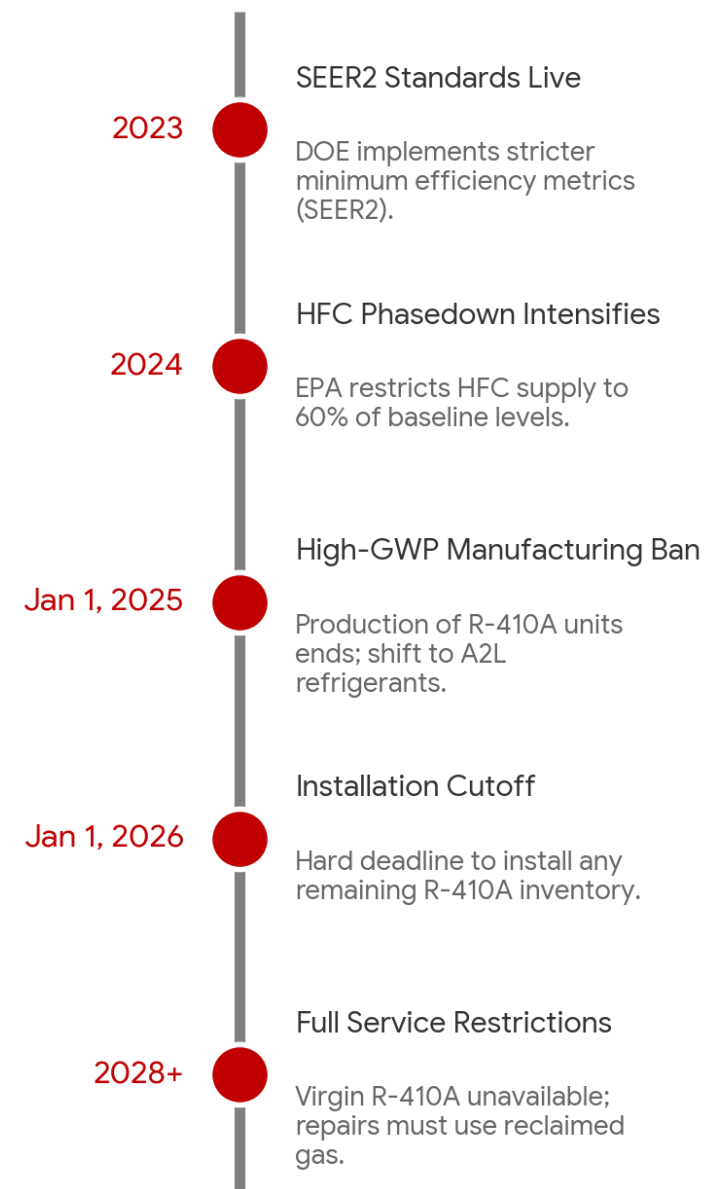
- **Changing Climate** = Higher runtime & faster failure rates.



Regulatory & Technological Edge

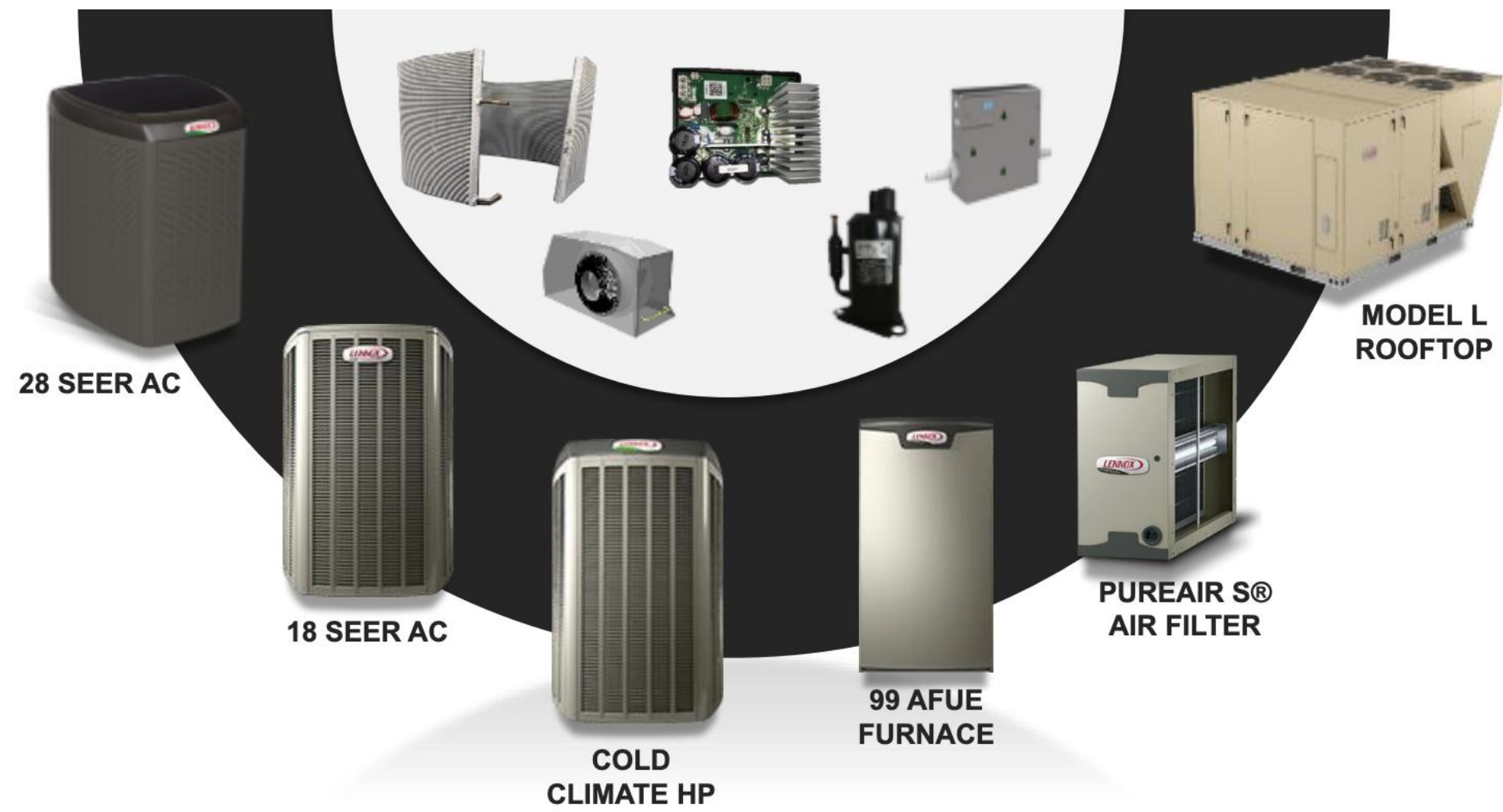
Regulatory Barrier

- **2025 Refrigerant Shift:** High R&D costs crush small players.
- **Price Catalyst:** Mandates force "step-up" in tech & price.



Flagship Tech

- **S40 Smart Thermostat:** AI monitoring prevents "truck rolls."
- **NSI Acquisition:** Captures revenue on competitor repairs.



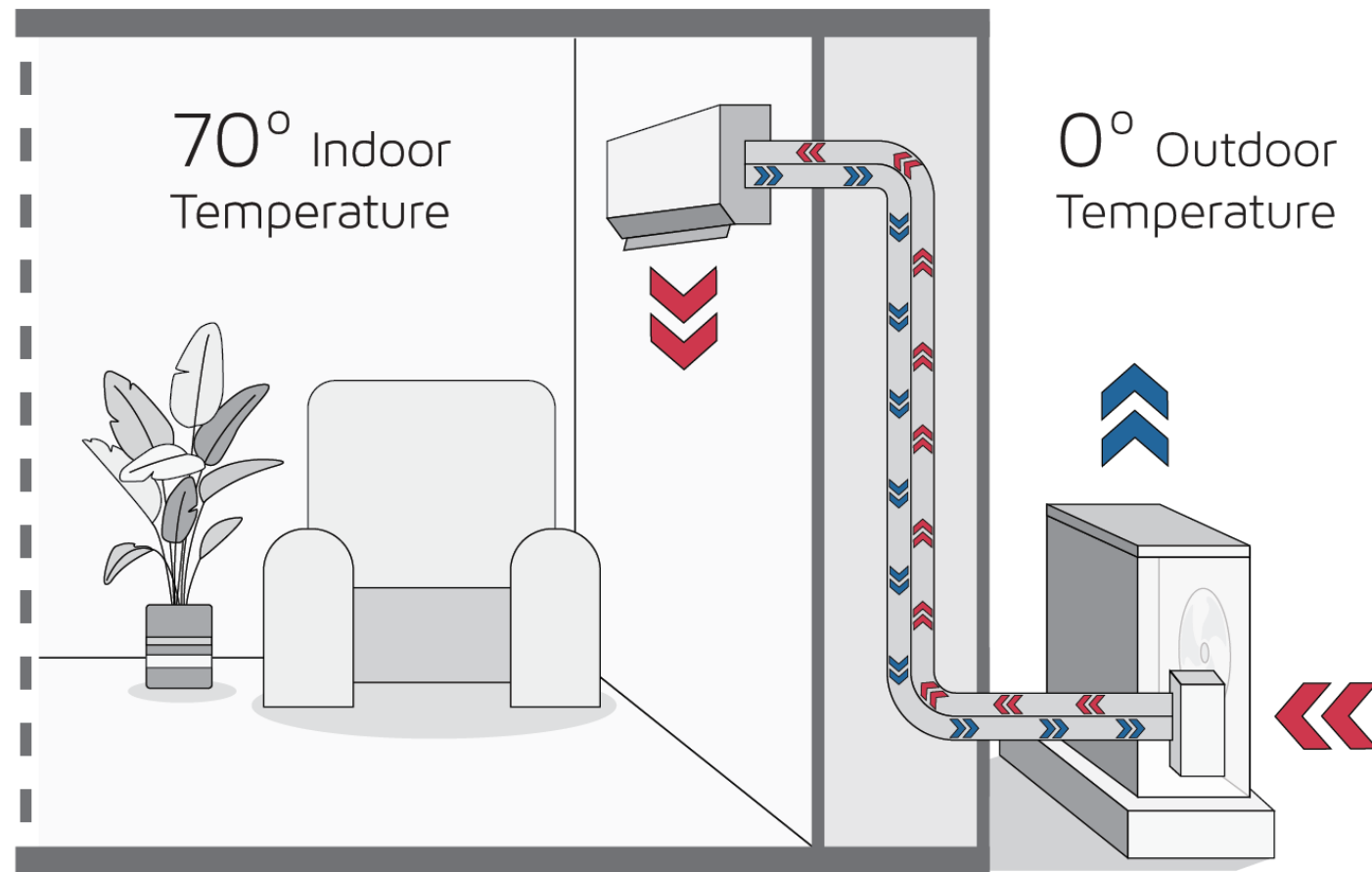
Risk and Mitigation



The Long-Term Competitive Risk

Risk: Ductless Invasion

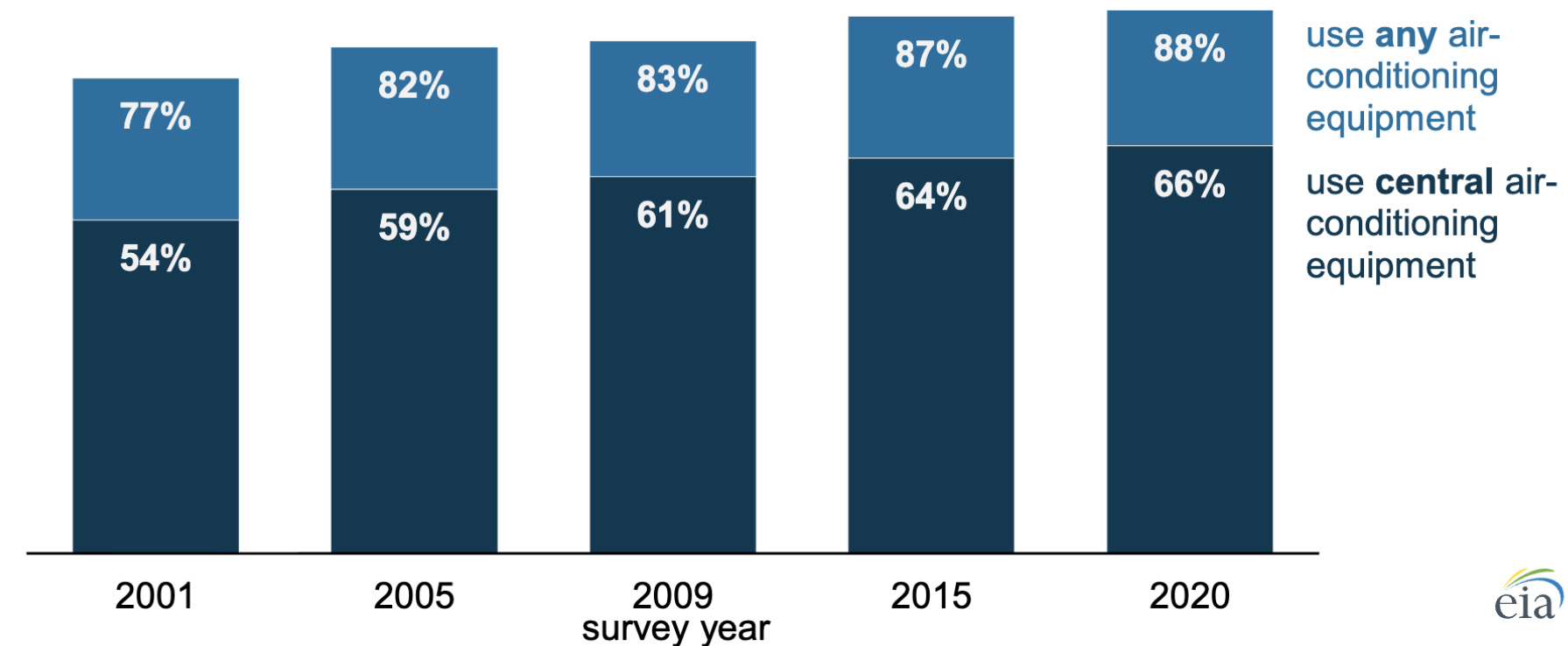
- **Trend:** US market slowly shifting to Mini-Splits.
- **Weakness:** Lennox slightly behind/no advantages compare to Daikin/Mitsubishi.



Mitigation: Defend the Core

- **Premium Niche:** Dominate complex Central AC (High Margin).
- **Contractor Gatekeepers:** Dealers prefer installing Central systems

Air-conditioning equipment usage in U.S. homes
percentage of homes



Data source: U.S. Energy Information Administration, [Residential Energy Consumption Survey](#)

The Near-Term Execution Risk

Risk: Execution and Distraction

- **Ariston JV:** Water heaters risk of divert HVAC focus.
- **Inventory Trap:** 2025 Phase-down risks stranded assets.



Mitigation: Visibility and Safety Net

- **NSI Acquisition:** \$550M "Parts & Supplies" revenue buffer.
- **Inventory Control:** Direct stores prevent over-production.





Financial Analysis

Income statement

Consolidated Statement of Operations (\$ in millions)	2020	2021	2022	2023	2024
Net sales	\$ 3,634.1	\$ 4,194.1	\$ 4,718.4	\$ 4,981.9	\$ 5,341.3
Cost of goods sold	\$ 2,594.0	\$ 3,005.7	\$ 3,433.7	\$ 3,434.1	\$ 3,569.4
Gross profit	\$ 1,040.1	\$ 1,188.4	\$ 1,284.7	\$ 1,547.8	\$ 1,771.9
Operating expenses:					
Selling, general and administrative expenses	\$ 555.9	\$ 598.9	\$ 627.2	\$ 705.5	\$ 730.6
Losses (gains) and other expenses, net	\$ 7.4	\$ 9.2	\$ 4.9	\$ 8.5	\$ 12.9
Restructuring charges	\$ 10.8	\$ 1.8	\$ 1.5	\$ 3.1	\$ -
Impairment on assets held for sale	\$ -	\$ -	\$ -	\$ 63.2	\$ -
Loss from natural disasters, net of insurance recoveries	\$ 3.1	\$ -	\$ -	\$ -	\$ -
Loss (gain) on sale from previous dispositions	\$ -	\$ -	\$ -	\$ (14.1)	\$ 1.5
Income from equity method investments	\$ (15.6)	\$ (11.8)	\$ (5.1)	\$ (8.5)	\$ (7.9)
Operating income	\$ 478.5	\$ 590.3	\$ 656.2	\$ 790.1	\$ 1,034.8
Pension settlements	\$ 0.6	\$ 1.2	\$ (0.2)	\$ 0.8	\$ 0.4
Interest expense, net	\$ 28.3	\$ 25.0	\$ 38.7	\$ 51.7	\$ 38.7
Other expense (income), net	\$ 4.4	\$ 4.0	\$ 1.9	\$ 0.1	\$ 1.9
Income from continuing operations before income taxes	\$ 445.2	\$ 560.1	\$ 615.8	\$ 737.5	\$ 993.8
Provision for income taxes	\$ 88.1	\$ 96.1	\$ 118.7	\$ 147.4	\$ 186.9
Income from continuing operations	\$ 357.1	\$ 464.0	\$ 497.1	\$ 590.1	\$ 806.9
Discontinued operations:					
Loss from discontinued operations before income taxes	\$ (1.5)	\$ -	\$ -	\$ -	\$ -
Income tax benefit	\$ (0.7)	\$ -	\$ -	\$ -	\$ -
Loss from discontinued operations	\$ (0.8)	\$ -	\$ -	\$ -	\$ -
Net income	\$ 356.3	\$ 464.0	\$ 497.1	\$ 590.1	\$ 806.9

Revenue Build

		Forecast 2025	Forecast 2026	Forecast 2027	Forecast 2028	Forecast 2029
Revenue	(USD M)	5,608.37	5,888.78	6,183.22	6,492.38	6,817.00
COGS	(USD M)	(3,747.87)	(3,935.26)	(4,132.03)	(4,338.63)	(4,555.56)
Gross Profit	(USD M)	1,860.50	1,953.52	2,051.20	2,153.76	2,261.44
SG&A	(USD M)	(730.60)	(730.60)	(730.60)	(730.60)	(730.60)
Other	(USD M)	(6.50)	(6.50)	(6.50)	(6.50)	(6.50)
EBIT	(USD M)	1,123.40	1,216.42	1,314.10	1,416.66	1,524.34
D&A	(USD M)	95.10	95.10	95.10	95.10	95.10
EBITDA	(USD M)	1,218.50	1,311.52	1,409.20	1,511.76	1,619.44
Net Interest Expense *	(USD M)	38.70	38.70	38.70	38.70	38.70
EBT	(USD M)	1,084.70	1,177.72	1,275.40	1,377.96	1,485.64
Total Tax	(USD M)	227.79	247.32	267.83	289.37	311.99
Net Income	(USD M)	856.91	930.40	1,007.56	1,088.58	1,173.66

* Calculated as interest expense net of interest income.

Comparables

As of 10/28/25															
Company Name	Market Data			Price				Financial Data (TTM)				Valuation			
	Price	Market Cap	EV	52 Week High	52 Week Low	Range	Range %	Sales	EBITDA	EBIT	Earnings	EV/Sales	EV/EBITDA	EV/EBIT	P/E
	(\$/share)	(\$M)	(\$M)	(\$/share)	(\$/share)	(\$)	(\$)	(\$M)	(\$M)	(\$M)	(\$M)	x	x	x	x
Carrier Global Corporation	58.74	50,130	60,220	81.09	54.22	26.87	39.72%	22,463	4,549	3,299	1,540	2.7x	13.2x	18.3x	32.6x
AAON, Inc	103.34	8,020	8,350	144.06	62.00	82.06	79.65%	1,259	181	154	122	6.6x	46.1x	54.2x	65.7x
Trane Technologies	426.36	94,240	98,080	476.18	298.15	178.03	45.98%	20,750	4,191	3,803	2,856	4.7x	23.4x	25.8x	33.0x
Johnson Controls International PLC	112.21	71,110	80,670	116.48	68.03	48.45	52.52%	23,402	3,332	2,555	2,231	3.4x	24.2x	31.6x	31.9x
Allegion PLC	169.08	15,260	16,670	180.68	116.57	64.11	43.14%	3,877	957	835	626	4.3x	17.4x	20.0x	24.4x
Average							52.20%					4.4x	24.9x	30.0x	37.5x
Median							45.98%					4.3x	23.4x	25.8x	32.6x
Lennox International	501.16	19,200	20,690	689.44	479.4	210	35.94%	5,417	1,159	1,060	835	3.8x	17.9x	19.5x	23.0x



**Thank You!
Questions?**

Resources

- <https://boehlycenter.mason.wm.edu/stock-pitch-decks/Bender+Trust+Mock+Presentation+Workshop.pdf>
 - <https://www.lennoxpros.com/news/educating-homeowners-on-indoor-air-quality?clear=true>
 - <http://finance.yahoo.com/news/lennox-international-inc-nyse-lii-135656512.html>
 - <https://www.tradingview.com/symbols/NYSE-LII/>
 - <https://www.lennox.com/residential/buyers-guide/guide-to-hvac/repair-vs-replace/>
 - <https://investor.lennox.com/static-files/83eab0de-09d9-4e10-a246-ef75718305e0>
 - <https://www.sec.gov/Archives/edgar/data/1069202/000119312522098331/d222632ddef14a.htm>
 - https://investor.lennox.com/financials-filings/sec-filings?field_nir_sec_form_group_target_id%5B%5D=491&field_nir_sec_date_filed_value=&filter_type=&relative_date_range_after=&relative_date_range_before=&exact_date_range_after=&exact_date_range_before=
 - [https://www.cnbc.com/quotes/LII#:~:text=Peers%20Financials%20Options-,KEY%20STATS,To%20Equity%20\(MRQ\)94.58%25](https://www.cnbc.com/quotes/LII#:~:text=Peers%20Financials%20Options-,KEY%20STATS,To%20Equity%20(MRQ)94.58%25)
 - <https://investor.lennox.com/news-events/events-and-presentations>
 - <https://investor.lennox.com/static-files/0b6b3ac7-99c0-417d-87c9-5542dbbb2ce6>
 - <https://www.lennox.com/residential/buyers-guide/guide-to-hvac/glossary/what-is-a-mini-split-system>
 - [https://investor.lennox.com/news-releases/news-release-details/lennox-reports-third-quarter-results#:~:text=Net%20Income:%20\\$246%20million%20%2C%20or,million%20of%20shares%20were%20repurchased.](https://investor.lennox.com/news-releases/news-release-details/lennox-reports-third-quarter-results#:~:text=Net%20Income:%20$246%20million%20%2C%20or,million%20of%20shares%20were%20repurchased.)
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Resources

- <https://finance.yahoo.com/sectors/industrials/>
 - <https://www.reuters.com/markets/companies/LII.N/profile>
 - <https://www.sec.gov/edgar/browse/?CIK=1069202&owner=exclude>
 - <https://finance.yahoo.com/news/lennox-internationals-quarterly-earnings-preview-164753201.html>
 - <https://www.gminsights.com/industry-analysis/hvac-market#:~:text=Pitfalls%20%26%20Challenges>
 - <https://www.investing.com/news/swot-analysis/lennox-internationals-swot-analysis-stock-poised-for-growth-amid-challenges-93CH-4218343>
 - https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/Betas.html
 - <https://www.sec.gov/ix?doc=/Archives/edgar/data/1069202/000162828025004859/lii-20241231.htm>
 - <https://www.lennox.com/about/>
 - <https://www.mckinsey.com/industries/public-sector/our-insights>
 - https://pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/histgr.html
 - <https://sbeodysey.com/blog/hvac-industry>
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 - <https://www.investopedia.com/terms/c/cagr.asp>
 - <https://privatebank.jpmorgan.com/nam/en/insights/latest-and-featured/mid-year-outlook>
 - <https://www.jpmorgan.com/insights/markets-and-economy/outlook/predictions-and-forecasts>
 - https://investor.lennox.com/financials-filings/sec-filings?field_nir_sec_form_group_target_id%5B%5D=471&field_nir_sec_date_filed_value=&filter_type=&relative_date_range_after=&relative_date_range_before=&exact_date_range_after=&exact_date_range_before=
-